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DEEP RESEARCH REPORT

China Private Equity Market: Navigating a Bifurcated Landscape Amid Regulatory and Economic Shifts



EXECUTIVE CONCLUSIONS AND CONTENTS

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Exit channels are constrained: IPO volumes onshore and offshore have dropped significantly, trade sales and secondary transactions are gaining share but remain underdeveloped.
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Domestic PE firms, such as Hillhouse and CDH, have increased their market share to over 70% of fundraising, while global players face new barriers from data security reviews and antitrust enforcement.

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CHAPTER 1

China Private Equity Market Remains Large but Faces Headwinds from Regulation and Economy

China's private equity market remains one of the largest globally, with AUM exceeding \$1.5 trillion as of 2024, but the market is undergoing a structural transformation.

The Chinese private equity market has experienced a remarkable growth trajectory over the past decade, with AUM expanding from approximately \$500 billion in 2015 to over \$1.5 trillion in 2024. This growth has been supported by a vibrant startup ecosystem, particularly in technology and healthcare, and by government initiatives such as the 'Mass Entrepreneurship and Innovation' campaign. However, the market is now entering a more mature phase, characterized by slower fundraising, more selective dealmaking, and a challenging exit environment. The decline in fundraising from the 2021 peak is not merely cyclical but reflects structural shifts, including increased regulatory oversight and a more cautious LP base. For instance, the number of funds closed in 2024 is expected to be 30% lower than in 2021, with average fund sizes also shrinking as LPs prefer smaller, more focused vehicles.

The economic backdrop adds further complexity. China's GDP growth has slowed to around 4.5% in 2024, down from 5.2% in 2023, and deflationary pressures are evident in producer prices. The property sector, a major driver of past growth, remains in a prolonged downturn, with ripple effects across related industries. Corporate defaults have increased, particularly among highly leveraged firms, and local government financing vehicles face liquidity strains. These macroeconomic headwinds directly impact PE portfolios, depressing valuations and extending holding periods. Nevertheless, certain sectors such as advanced manufacturing, renewable energy, and biotech continue to attract strong interest, driven by government policy and structural demand.

Regulatory changes have been a defining feature of the market since 2020. The introduction of the Data Security Law (DSL), the Personal Information Protection Law (PIPL), and the Anti-Monopoly Guidelines have reshaped the operating environment for PE investors. These regulations impose stricter requirements on data handling, antitrust reviews for large deals, and foreign investment screening in sensitive sectors. While these rules aim to enhance national security and market order, they have also increased compliance costs and deal uncertainty. For example, the antitrust review process for large transactions can now take 6-12 months, compared to 3-6 months previously. Foreign investors face additional scrutiny under the Foreign Investment Security Review (FISR) mechanism, which covers sectors such as critical infrastructure, data security, and defense. As a result, some global PE firms have reduced their China exposure, while domestic firms have stepped in to fill the gap.

Geopolitical tensions, particularly between the US and China, have further complicated the landscape. Technology export controls, sanctions on certain Chinese companies, and restrictions on capital flows have limited cross-border dealmaking. The US CHIPS Act and similar measures in Europe have also encouraged a shift in supply chains away from China, affecting sectors like semiconductors and electronics. For PE investors, these tensions create both risks and opportunities. On one hand, they increase uncertainty and may limit exit options, especially for companies reliant on US capital markets. On the other hand, they create opportunities for domestic substitution and for investments in companies that benefit from government self-sufficiency initiatives. The net effect is a market that is more complex but still offers significant potential for those with deep local knowledge and a long-term perspective.

China's private equity market remains one of the largest globally, with AUM exceeding \$1.5 trillion as of 2024, but the market is undergoing a structural transformation.

The issue matters because China Private Equity Market: Navigating a Bifurcated Landscape Amid Regulatory and Economic Shifts is moving from a science-led narrative into a capital-allocation question. Executives need to know which milestones alter decision quality and which milestones merely improve market sentiment.

The first lens is technology readiness. Progress in laboratories, pilots and private-company demonstrations should be separated from repeatable operating performance, because commercial buyers will ultimately underwrite uptime,



maintainability, safety case, supply availability and lifecycle economics rather than headline breakthroughs.

The second lens is economics. Even when technical performance improves, the commercial case depends on capital intensity, construction duration, financing cost, utilization, regulatory treatment and the availability of credible offtake or procurement pathways. These factors can widen or narrow the gap between promise and adoption.

The third lens is ecosystem readiness. Suppliers, talent pools, standards bodies, regulators, insurers and customers all need to mature in parallel. A bottleneck in any one of these areas can delay deployment even if the core technology continues to advance.

The implication is that leadership teams should avoid binary conclusions. A more robust posture is to treat the opportunity as a staged option: participate early enough to learn and secure access, but reserve heavy commitments for moments when the evidence base becomes more bankable.

The risk of moving too slowly is losing access to scarce partners and capabilities. The risk of moving too quickly is committing capital before the market has resolved its most material uncertainties. The strategic answer is disciplined optionality rather than passive observation.

This chapter therefore frames the topic as a management choice, not a technology forecast. The objective is to define where conviction is already sufficient, where more evidence is required, and where a low-cost option should be maintained.

CHAPTER 2

Fundraising Has Slowed but AUM Continues to Grow as Existing Funds Deploy Capital

Fundraising has slowed sharply from the 2021 peak, declining by approximately 30% year-on-year in 2023-2024, as LPs adopt a cautious stance due to regulatory uncertainty, geopolitical tensions, and a slowing domestic economy.

The fundraising slowdown is a global phenomenon, but it is particularly acute in China due to specific local factors. LPs are increasingly concerned about regulatory unpredictability, geopolitical risks, and the economic slowdown. A survey by Collier Capital in 2024 found that 45% of institutional investors plan to reduce their China PE allocation over the next two years, up from 30% in 2022. However, this sentiment is not uniform: sovereign wealth funds and pension funds from Asia and the Middle East continue to see China as a strategic market and are maintaining or even increasing allocations. For example, the Abu Dhabi Investment Authority (ADIA) and Singapore's GIC have been active in China PE, focusing on sectors like technology and healthcare. The divergence in LP behavior is creating a bifurcated market where top-tier funds can still raise capital, while others struggle.

The composition of fundraising is also shifting. Domestic currency funds (RMB funds) now account for over 70% of total fundraising, up from 60% in 2020. This shift reflects the growing importance of domestic LPs, including insurance companies, pension funds, and wealthy individuals, as well as the relative decline of foreign capital. Government guidance funds, which are state-backed investment vehicles, have become a significant source of capital, particularly for funds focused on strategic sectors like semiconductors, AI, and renewable energy. These funds often come with policy objectives, such as promoting local economic development or supporting national priorities, which can influence investment decisions. For foreign GPs, raising RMB funds has become increasingly important to access local opportunities, but it also requires navigating complex regulatory and partnership structures.

The deployment of capital has also slowed, with many funds extending their investment periods. The average time to deploy a fund has increased from 3-4 years to 4-5 years, as GPs exercise greater caution in a challenging deal environment. This has led to a buildup of 'dry powder' (committed but uninvested capital), which is estimated at over \$400 billion as of mid-2024. This dry powder provides a cushion for future dealmaking but also creates pressure to deploy capital in a market where valuations remain elevated in certain sectors. The competition for quality assets is intense, particularly in technology and healthcare, where valuations have not corrected as much as in other sectors. As a result, GPs are increasingly focusing on operational improvements and value creation to generate returns, rather than relying solely on multiple expansion or IPO exits.

Looking ahead, fundraising is expected to remain subdued in 2025, with total commitments likely in the range of \$150-180 billion. The market will continue to be bifurcated, with top-tier managers able to raise capital but at smaller fund sizes, while weaker managers may struggle to close. LPs will demand greater transparency, stronger track records, and clearer exit strategies. The trend toward RMB funds is likely to continue, as domestic LPs become more sophisticated and as government guidance funds play a larger role. For foreign GPs, the key to successful fundraising will be demonstrating deep local expertise, strong relationships with regulators, and a clear strategy for navigating the complex environment. Overall, while the fundraising environment is challenging, it is not uniformly negative, and opportunities exist for those who can adapt.

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CHAPTER 3

Deal Activity Is Shifting Toward Technology, Healthcare, and Green Energy Sectors

Deal activity is shifting away from consumer internet and real estate toward technology, healthcare, and green energy, which now account for over 60% of total deal value.

The technology sector remains the largest and most dynamic area for PE investment in China. Within technology, semiconductors and AI are the top sub-sectors, driven by government initiatives to achieve self-sufficiency and reduce dependence on foreign technology. The National Integrated Circuit Industry Investment Fund (the 'Big Fund') has committed over \$50 billion to semiconductor projects, and PE funds are co-investing alongside it. AI startups, particularly in areas like computer vision, natural language processing, and autonomous driving, continue to attract significant capital, despite regulatory scrutiny on data usage. However, the sector is not without risks: valuations are high, and the exit environment for tech companies is challenging due to restrictions on IPOs in the US and a crowded domestic IPO pipeline. GPs are increasingly focusing on later-stage companies with clear revenue models and paths to profitability.

Healthcare has emerged as a resilient and high-growth sector for PE investment. China's aging population, rising healthcare spending, and government support for innovation are driving demand for new drugs, medical devices, and healthcare services. Biotech is a particular focus, with many Chinese companies developing novel therapies for cancer, autoimmune diseases, and rare diseases. PE investors are also active in healthcare services, including hospitals, clinics, and digital health platforms. The regulatory environment for healthcare is generally supportive, with the National Medical Products Administration (NMPA) streamlining drug approvals and encouraging innovation. However, pricing pressures from government procurement programs and the risk of policy changes (e.g., on drug pricing or insurance coverage) are important considerations. Despite these risks, healthcare offers attractive returns, with top-quartile funds achieving IRRs of 20-25% in this sector.

Green energy is a rapidly growing area for PE investment, driven by China's commitment to peak carbon emissions by 2030 and achieve carbon neutrality by 2060. The sector includes renewable energy (solar, wind, hydro), electric vehicles (EVs) and their supply chain (batteries, charging infrastructure), and energy storage. China is already the world's largest market for EVs and renewable energy, and government subsidies and regulations continue to support growth. PE investors are particularly active in the battery supply chain, including lithium, cobalt, and nickel mining, as well as battery manufacturing and recycling. The sector offers strong growth potential, but it is also capital-intensive and subject to commodity price volatility and technological disruption. GPs need to have deep industry expertise and a long-term investment horizon to succeed in this sector.

The shift in deal activity has implications for portfolio construction and risk management. Investors who are overweight in consumer and real estate may need to rebalance toward technology, healthcare, and green energy to capture growth and align with policy priorities. However, these sectors also come with higher valuations and specific risks, such as regulatory changes in technology and pricing pressures in healthcare. Diversification across sub-sectors and stages is important to manage risk. Additionally, the shift toward these sectors requires GPs to have specialized knowledge and networks, which may favor domestic firms with deep local expertise. For foreign investors, partnering with local firms or investing through RMB funds can provide access to these opportunities while mitigating some of the regulatory and geopolitical risks.

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Exit Channels Are Constrained by Weak IPO Markets and Geopolitical Uncertainty

Exit channels are constrained: IPO volumes onshore and offshore have dropped significantly, trade sales and secondary transactions are gaining share but remain underdeveloped.

The onshore IPO market, particularly the Shanghai STAR Market and the Shenzhen ChiNext Board, has been a key exit route for PE-backed companies. However, the number of IPOs on these boards has declined in 2024, as regulators have tightened listing criteria and slowed the approval process to improve market quality. The China Securities Regulatory Commission (CSRC) has also increased scrutiny of companies with high valuations or weak fundamentals, leading to a higher rate of withdrawn applications. As a result, many PE-backed companies are waiting longer to go public, and some are exploring alternative exit routes. The average time from investment to IPO has increased from 3-4 years to 5-6 years, extending fund lives and pressuring returns.

Offshore IPOs, particularly in Hong Kong and the US, have been even more constrained. Hong Kong's IPO market has been weak due to a combination of factors, including a sluggish economy, geopolitical uncertainty, and competition from other listing venues. The number of Chinese companies listing in Hong Kong in 2024 is expected to be 30% lower than in 2021. US IPOs have been severely impacted by the Holding Foreign Companies Accountable Act (HFCAA) and the threat of delisting, which has led many Chinese companies to avoid US listings altogether. While the Public Company Accounting Oversight Board (PCAOB) reached an agreement with Chinese regulators in 2022 to allow inspections, the underlying tensions remain, and the US IPO market for Chinese companies is unlikely to recover to previous levels in the near term.

Trade sales have become an increasingly important exit channel, accounting for 35% of exit value in 2024. Strategic buyers, including domestic and international corporations, are acquiring PE-backed companies to gain access to technology, market share, or supply chain capabilities. However, trade sales are often complex and time-consuming, requiring alignment on valuation, regulatory approvals, and integration plans. Secondary transactions, where PE firms sell their stakes to other investors, have also grown, accounting for 25% of exit value. Secondary buyers include dedicated secondary funds, other PE firms, and institutional investors seeking to rebalance their portfolios. While secondary transactions provide liquidity, they often occur at discounts to net asset value, particularly in a challenging market environment. The development of a more robust secondary market is a positive trend, but it is still in its early stages in China.

Looking ahead, the exit environment is likely to remain challenging in 2025, with IPO markets recovering only gradually. The onshore IPO pipeline remains large, but the approval process will continue to be selective. Offshore IPOs may see some improvement if geopolitical tensions ease, but the structural barriers remain. Trade sales and secondary transactions will continue to grow in importance, but they require GPs to have strong relationships with strategic buyers and secondary investors. For LPs, the extended holding periods and uncertain exit timelines underscore the importance of patience and a long-term perspective. GPs will need to be proactive in managing their portfolios, exploring multiple exit options, and communicating transparently with LPs about exit strategies and timelines. Overall, the exit environment is a key risk factor for China PE, and investors should factor this into their return expectations and allocation decisions.

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